

3.1.1 The purpose and nature of businesses

Content	Additional information
• Purpose of business • Reasons for starting a business • Basic functions and types of business • Business enterprise and entrepreneurship • Dynamic nature of business	Students should be able to: • understand what a business is and the reasons for starting a business (including producing goods, supplying services, distributing products, fulfilling a business opportunity and providing a good or service to benefit others) • understand the difference between goods and services, needs and wants • understand the meaning of factors of production – land, labour, capital, enterprise • define opportunity cost • define the three sectors of primary, secondary and tertiary and give examples of types of business that operate in each sector • understand the term enterprise and what is meant by an entrepreneur • outline the characteristics of an entrepreneur, such as hard working, innovative, organised and willingness to take a risk • outline the objectives of an entrepreneur, including to be their own boss, flexible working hours, to pursue an interest, earn more money, identify a gap in the market and dissatisfaction with current job • understand that businesses face a constantly changing business environment due to changes in technology, economic situation, legislation and environmental expectations.